

Thursday, February 20, 2025

REPRESENTATIVES AT GENERAL MEETINGS

RECIPIENTS OF naamsa MEDIA RELEASES

**RE: QUARTERLY REVIEW OF BUSINESS CONDITIONS: NEW MOTOR VEHICLE
MANUFACTURING INDUSTRY / AUTOMOTIVE SECTOR: 4TH QUARTER 2024**

Ladies and Gentlemen,

Attached is a copy of **naamsa's** quarterly review of business conditions for the South African motor vehicle manufacturing industry, during the fourth quarter of 2024, as submitted to the Director-General, Department of Trade, Industry and Competition [**the dtic**].

Industry vehicle sales, export, and import statistics for 2015 through 2024, together with current projections for 2025 and 2026, are reflected on the attachment to the submission.

KEY FEATURES: FOURTH QUARTER 2024

- Fourth quarter aggregate industry employment as at 31st December 2024 totalled 32,494 reflected a decrease of 815 jobs compared to the 33,309 industry head count as at the end of September 2024;
- Aggregate new vehicle sales during the fourth quarter 2024 recorded an increase of 5,8% compared to the corresponding quarter 2023 and an increase of 4,5% compared to the third quarter 2024.
- New energy vehicle [NEV] sales by 16 industry brands increased by 81,0% from 2,542 units in the fourth quarter 2023 to 4,601 units in the fourth quarter 2024;
- Average industry capacity utilisation levels during the fourth quarter 2024 continued to reflect the impact of supply chain disruptions caused by the ongoing port congestion and delays, weak domestic demand as well as lower vehicle export volumes, impacting differently on the different segments as well as differently on the production volumes of the various vehicle manufacturers;
- Aggregate capital expenditure by the major light vehicle manufacturers in 2024 amounted to R7,3billion, linked to new generation model investments;

- South Africa's global vehicle production market share increased from 0,65% in 2022 to 0,67% in 2023, but its global vehicle production ranking remained at 22nd;
- Fourth quarter 2024 domestic vehicle production reflected a decrease of 9,0% compared to the corresponding quarter 2023;
- Vehicle exports decreased by a 9,8% in the fourth quarter 2024 compared to the corresponding quarter 2023 due to decreasing exports to all major regions, with the exception of Africa; and
- The **naamsa** CEOs Confidence Index, as an in-house leading business confidence indicator of current and future developments in the domestic automotive industry, reflects the sentiment expressed by the **naamsa** CEOs for the fourth quarter 2024 compared to the third quarter 2023 as well as automotive business conditions and the country's economy in general for the next 6 months.

Thursday, February 20, 2025

Mme Malebo MABITJE-THOMPSON
Acting Director-General
Department of Trade, Industry and Competition
Private Bag X84
PRETORIA
0001

**RE: QUARTERLY REVIEW OF BUSINESS CONDITIONS: NEW MOTOR VEHICLE
MANUFACTURING INDUSTRY / AUTOMOTIVE SECTOR: 4TH QUARTER 2024**

Dear Mme MABITJE-THOMPSON,

naamsa would like to submit the following report on business conditions in the South African new motor vehicle manufacturing industry and the automotive sector during the fourth quarter of 2024.

1. EMPLOYMENT LEVELS AND TRENDS

The number of persons employed by the South African new vehicle manufacturing industry - comprising the major new vehicle manufacturers and specialist commercial vehicle and bus manufacturers - during the fourth quarter of 2024 may be set out as follows:

PERIOD	INDUSTRY TOTAL
Last pay week October 2024	33,068
Last pay week November 2024	32,668
Last pay week December 2024	32,494

Industry employment levels and trends reflect employees on the payroll of vehicle manufacturers. Aggregate industry employment as at 31st December 2024 totalled 32,494 reflecting a decrease of 815 jobs compared to the 33,309 industry head count as at the end of September 2024.

The average monthly vehicle manufacturing industry employment number for 2024 was 33,154 compared to the 33,509 in 2023. Employment in the vehicle manufacturing industry is generally linked to production and the decrease in employment in 2024 related to lower vehicle production and vehicle exports for the period under review.

Employment levels on the payroll of the independent vehicle importers, at their head offices and dedicated dealerships.

PERIOD	TOTAL
End of quarter 4, 2022	7,610
End of quarter 1, 2023	7,402
End of quarter 2, 2023	7,541
End of quarter 3, 2023	7,503
End of quarter 4, 2023	7,517
End of quarter 1, 2024	7,485
End of quarter 2, 2024	7,517
End of quarter 3, 2024	7,603
End of quarter 4, 2024	7,580

Aggregate independent vehicle importers employment as at 31st December 2024 totalled a head count of 7,580 reflecting a decrease of 23 jobs, compared to the head count of 7,603 as at the end of September 2024. Capital expenditure reported on an annual basis by the independent vehicle importers, at their head offices and dedicated dealerships, amounted to R63,6 million in 2024.

PERIOD	TOTAL
2019	R62.6 mil
2020	R53.3 mil
2021	R32.5 mil
2022	R54.3 mil
2023	R43.3 mil
2024	R63,6 mil

The employment and capital expenditure data collection serve as important reference points, mainly to discern trends in the independent vehicle importers' landscape.

2. NUMBER OF SHIFTS

Various OEMs have returned to operations on a three-shift basis as well as multi-shifts in selected areas such as machining, press shops, paint shop operations and body shops in line with a recovery in vehicle production volumes post the pandemic as well as in supporting higher vehicle export volumes. During the quarter, one OEM operated on a three-shift basis, one OEM on a combined single, double and three-shift basis, two OEMs on a double shift, one OEM on a combined single- and double-shift basis, and two OEMs on a single-shift basis.

3. AVAILABILITY AND PRICE TRENDS OF COMPONENTS AND RAW MATERIALS

3.1. Imported components and raw materials

The availability and price trends of imported components continued to be disrupted by the ongoing vessel and port delays which negatively impacted vehicle production volumes during the quarter. Global steel prices eased during the quarter. Prices of imported components and raw materials remained subject to exchange rate movements and the global price index and a strong Rand exchange rate during the quarter impacted positively on the landed prices of imported components and raw materials.

3.2. Local components and raw materials

Port congestion and delays also affected automotive component suppliers and continued to disrupt supply chains during the quarter. Aluminium prices increased during the quarter. Raw material pricing trends remain a function of exchange rate movements and the global price index.

4. UTILISATION OF PRODUCTION CAPACITY: 2020 - 2024 Q4

Average motor vehicle manufacturing industry capacity utilisation levels, by sector and for the years/quarters indicated, may be illustrated as follows:

	Year 2021	Year 2022	Year 2023	Q1 2024	Q2 2024	Q3 2024	Q4 2024	Q4 2024 Range [High] [Low]	
Cars	73.5 %	75.5 %	92.8 %	93.4 %	89.0 %	90.9 %	88.3 %	100%	64.0%
Light Commercials	58.3 %	65.2 %	77.9 %	71.3 %	72.8 %	77.8 %	75.6 %	100%	33.3%
Medium Commercials	47.0 %	69.1 %	58.5 %	60.5 %	31.8 %	33.0 %	32.2 %	86.0%	6.0%
Heavy Commercials	63.6 %	83.8 %	79.6 %	81.7 %	78.6 %	82.4 %	81.6 %	100%	25.8%

Average industry capacity utilisation levels during the fourth quarter 2024 continued to reflect the impact of supply chain disruptions caused by the ongoing port congestion and delays, weak domestic demand as well as lower vehicle export volumes, impacting differently on the different segments as well as differently on the production volumes of the various vehicle manufacturers.

5. VEHICLE MANUFACTURING INDUSTRY CAPITAL EXPENDITURE: 2018 - 2024

naamsa reports the industry's aggregate capital expenditure on an annual basis. The aggregated data is based on capital expenditure details supplied by the major vehicle manufacturers. Details of actual industry capex for 2018 through 2024, in Rand millions, are as follows:

CAPITAL EXPENDITURE	2018	2019	2020	2021	2022	2023	2024
Product/Local/Content/ Export Investment/ Production Facilities	5,779.5	6,705.8	7,296.2	4,910.8	6,443.9	4,393.3	6,685.5
Land and Buildings	1,202.4	234.5	1,558.1	3,641.4	203.8	215.3	312.2
Support Infrastructure [I.T., R&D, Technical, etc.]	265.0	334.0	377.4	248.5	464.6	561.6	300.2
TOTAL	7,246.9	7,274.3	9,231.7	8,800.7	7,112.3	5,170.2	7,297.9

Capital expenditure amounted to R7,3 billion in 2024 [excluding Mercedes-Benz SA]. The continued high levels in capital expenditure over recent years are due to investment projects by manufacturers in terms of the Automotive Production Development Programme [APDP] and APDP2, which are normally spread over multiple years and linked to new generation model investment cycles as well as higher levels of production for export markets. There has been an increasing trend in investments in hybrid and plug-in hybrid models in the domestic market.

6. TRANSFORMATION | THE AUTOMOTIVE INDUSTRY AS A CATALYTIC INDUSTRY IN SOUTH AFRICA

The South African automotive industry remains a key driver of economic transformation and job creation. In response to the pressing issue of youth unemployment, the industry has taken proactive steps to provide entry-level job opportunities for thousands of young South Africans. These initiatives not only align with the government's broader employment and skills development goals but also contribute to the creation of a more inclusive and diverse workforce. This section delves into the impact of these initiatives, their role in fostering long-term career growth, and the collaborative efforts that drive sustainable employment within the sector.

6.1. The Automotive Industry| driving 10,000 entry-level job opportunities for unemployed South Africans

The South African automotive industry made significant strides in addressing youth unemployment in 2024 by creating over 10,000 entry-level job opportunities. This initiative aligns with the government's broader strategy to upskill and empower young South Africans, equipping them with the essential skills to successfully integrate into the formal economy.

A comprehensive analysis of the opportunities created, encompassing multiple initiatives that cater to diverse employment categories, each tailored to varying levels of education and training. The breakdown is as follows:

- Learnerships [30%] - 2,099 positions;
- Internships [10%] - 700 positions;
- Youth Employment Service [YES] [40%] - 2,799 positions;
- Graduate Placements [15%] - 1,050 positions; and
- Other Entry-Level Roles [5%] - 350 positions.

This structured approach ensures a balanced opportunity distribution, targeting youth from diverse backgrounds and educational experiences.

Inclusivity and Diversity: A Key Focus

Diversity and inclusion remain central to this initiative, with a strong emphasis on providing opportunities for historically disadvantaged individuals. The data highlights:

- Black Representation - 84% [5,878 individuals]; and
- Female Representation - 47% [3,289 individuals].

These figures reflect a commitment to transforming the industry into a more inclusive space, empowering black South Africans and promoting gender equality.

6.2. Impact on South African Youth Employment

South Africa grapples with a severe youth unemployment crisis, affecting numerous graduates and unskilled individuals in their job search. The automotive sector's proactive initiative to establish 10,000 entry-level positions has emerged as a pivotal stepping stone for young people. By providing them with valuable workplace experience, financial independence, and a contribution to economic growth, these initiatives have not only helped individuals secure employment but also fostered a ripple effect. As these young employees acquire industry-relevant skills, they position themselves for long-term careers in the automotive and manufacturing sectors, contributing to the sector's continued success.

6.3. Collaboration for Sustainable Employment

The success of this program hinges on robust collaboration among industry players, government agencies, and training institutions. Partnerships with skills development programs, such as learnerships and YES programs, are pivotal in ensuring that young people receive both theoretical and practical training before transitioning into full-time employment. The automotive industry's initiative to create 10,000 entry-level job opportunities signifies a substantial investment in the future of South African youth. By providing structured employment pathways, promoting inclusivity, and equipping young individuals with the necessary skills, this initiative represents a glimmer of hope for the country's unemployed youth. As more industries adopt similar measures, South Africa moves closer to constructing a resilient workforce capable of driving economic growth and sustainable development.

7. BUSINESS CONDITIONS, PERFORMANCE INDICATORS AND COMMENT

Business Conditions: Fourth Quarter: 2024

2024 Fourth quarter aggregate industry new passenger car sales at 99,375 units recorded an increase of 12,699 units, or a gain of 14,7% compared to the 86,676 new passenger cars sold during the corresponding quarter of 2023. Aggregate industry commercial vehicle sales during the fourth quarter of 2024, at 38,707 units, recorded a decrease of 5,167 units, or a loss of 11,8% compared to the 43,874 units sold during the fourth quarter of 2023.

Industry domestic sales growth: Direction and extent of change [previous and corresponding quarter's percentage changes are reflected in brackets]				
	Qtr. ended 31 December 2024 compared with <u>previous Qtr. ended 30 September 2024</u>		Qtr. ended 31 December 2024 compared with <u>corresponding Qtr. ended 31 December 2023</u>	
Passenger Cars	+9,9%	[+17.6%]	+14,7%	[+4.2%]
Light Commercial vehicles	-7,4%	[+8.6%]	-13,4%	[-15.9%]
Medium Commercial vehicles	-2,1%	[+31.4%]	-3,3%	[-2.3%]
Heavy Commercial vehicles	+13,1%	[+14.6%]	+18,5%	[-8.1%]
Extra Heavy Commercials	-14,9%	[+7.9%]	-14,1%	[-9.5%]
Buses	+17,2%	[-6.1%]	+25,3%	[+18.4%]

Aggregate new vehicle sales during the fourth quarter 2024 recorded an increase of 5,8% compared to the corresponding quarter 2023 and an increase of 4,5% compared to the third quarter 2024. The turnaround in the new vehicle market during the fourth quarter compared to the corresponding quarter 2023 as well as previous quarter 2024 reflected a confluence of positive economic indicators stimulating consumer and business sentiment. A resilient passenger car segment was supported by several new market entrants offering options at the more affordable end of the pricing spectrum, inclusive of high specifications, to price-sensitive consumers. Light commercial vehicle sales continued to be affected by the financial challenges of SA Taxi providing financing for taxis.

New energy vehicle [NEV] sales by 16 industry brands increased by 81,0% from 2,542 units in the fourth quarter 2023 to 4,601 units in the fourth quarter 2024, following an 88,0% increase during the third quarter 2024 compared to the third quarter 2023. For the full year 2024, NEV sales by 21 industry brands increased by 100,6% to 15,611 units compared to the 7,782 units in 2023 and comprised 3,0% of the total new vehicle market in 2024 compared to 1,47% in 2023.

The following table reveals the diversity of drivetrain sales in the South African NEV landscape from 2019 through to 2024 Q3.

	Year 2019	Year 2020	Year 2021	Year 2022	Year 2023	Q4:202 4	Q4:202 4
Plug-in hybrid	72	77	51	122	368	113	260
Traditional hybrid	181	155	627	4,070	6,485	2,220	4,157
Electric	154	92	218	502	929	209	184
Total NEVs	407	324	896	4,694	7,782	2,542	4,601

The National Budget, proposed in February 2024, introduced a 150% tax incentive for the production of electric and hydrogen-powered vehicles. This incentive, enacted on December 24, 2024, applies to all qualifying equipment and buildings, including any additions or improvements, that are put into use for the first time between March 1, 2026, and March 1, 2036. Notably, this tax break provides a 150% tax deduction on investments in electric and hydrogen-powered vehicle production. Additionally, securing EV component production in South Africa and domestic beneficiation of the metals and minerals required for the electric vehicle [EV] value chain are equally important objectives.

Global demand for electric vehicles [NEVs] is primarily driven by government incentives aimed at combating climate change and increased consumer demand for eco-friendly products. Additionally, technological advancements have played a significant role in the growing popularity of NEVs.

naamsa firmly believes that the domestic vehicle manufacturing base should prioritise technological openness to ensure maximum production allocation to South African plants. Furthermore, supporting the affordability and attractiveness of NEVs for the South African public is crucial. Accelerating the decarbonization of the vehicle market is equally important, and this cannot solely rely on export-driven strategies. To stimulate domestic demand, **naamsa** proposes addressing the luxury ad-valorem tax to boost demand and developing a comprehensive network of public charging infrastructure along major roads to encourage market adoption.

South African Automotive Industry's Performance in a Global Context: 2018 - 2023 production data: Global vehicle production increased by 10,3% to reach 93,5 million vehicles in 2023, up from the 84,8 million units produced in 2022, exceeding the pre-pandemic level of 91,9 million vehicles in 2019 after three years. Global new vehicle sales also increased by a sound 11,9% and totalled 92,7 million units in 2023, up from 82,9 million units sold in 2022, supported by another sharp year-on-year rise in EV sales of 35% in 2023. Available data for the first three quarters of 2024 compared to the corresponding period 2023 reflected that global vehicle production consolidated, in aggregated terms decreasing year-on-year by 1% in 2024, while for the EU, the domestic automotive industry's main trading partner, decreasing by 4%.

The following table reflects SA's share of global vehicle production for 2018 to 2023 [in millions].

	2018	2019	2020	2021	2022	2023	% change 2023 / 2022
Global Production	96.87	92.18	77.71	80.21	84.83	93.55	+10.3%
South Africa Production	0.61	0.63	0.45	0.50	0.56	0.63	+13.9%
SA Share: Global Production	0.64%	0.69%	0.58%	0.62%	0.65%	0.67%	+3.1%

South African vehicle production increased by 13,9%, from 555,885 units in 2022 to a record 632,362 units in 2023, exceeding the global year-on-year increase in global vehicle production of 10,3% in 2023. The country's global vehicle production market share thus increased from 0,65% in 2022 to 0,67% in 2023, but its global vehicle production ranking remained at 22nd. In terms of global LCV production, South Africa was ranked 15th with a market share of 1,2%. South Africa remained the dominant market on the African continent in 2023 and accounted for 54,1% of total African vehicle production and 50,7% of Africa's new vehicle sales.

Fourth quarter 2024 domestic vehicle production reflected a decrease of 9,0% compared to the corresponding quarter 2023. Business conditions remained characterised by constrained economic conditions in the domestic as well as major export markets. Despite the uptick in the fourth quarter 2024, new vehicle sales remained under pressure, continuing to reflect a shift in the matrix with various new entrants in the domestic market. A slowdown of vehicle exports to the domestic automotive industry's top export markets, due to weak economic growth and other challenges, also affected vehicle production during the quarter.

The following table reflects South Africa's domestic vehicle production for 2019 to 2024 Q4.

	2019	2020	2021	2022	2023	2023 Q4	2024 Q4	% change Q4:2024/ Q4:2023
Passenger Cars	348,665	237,214	239,266	309,423	336,012	87,791	81,223	-7,5%
LCVs	254,417	185,691	232,166	215,472	262,646	71,154	63,019	-11,4%
MCVs	8,802	6,874	7,643	8,478	8,362	2,196	2,112	-3,8%
HCVs	5,218	4,208	5,151	6,269	5,719	1,401	1,615	+15,3%
XHCVs	13,817	11,484	14,175	15,498	18,841	4,741	4,099	-13,5%
Buses	999	745	685	745	782	239	306	+28,0%
TOTAL	631,918	446,216	449,086	555,885	632,362	167,522	152,374	-9,0%

South Africa had a vehicle parc [number of registered vehicles] of 13,36 million at the end of 2024, of which 7,95 million, or 59,5%, comprised passenger cars. As an export-oriented industry, the domestic automotive sector has embraced the trade opportunities via the specific trade arrangements that South Africa has concluded over the past three decades, opening certain markets in Europe, the US, and Africa, among others. Vehicle exports remain key to generate sufficient economies of scale, and to achieve improved international competitiveness.

In 2024, vehicle exports decreased for the first time since the COVID-19 affected 2020 down to 390 845 units, or 2,2%, compared to the record performance of 2023 when the industry exported 399 809 units. This was still the second highest export level on record. The 390,845 left- and right-hand drive vehicles, comprising a massive 68,7% of domestic vehicle production, were exported to 109 countries around the world in 2024.

The Economic Partnership Agreements [EPAs] with the EU and the UK ensured that the region dominated exports and accounted for a substantial 75,7%, or three out of every four vehicles exported in 2024, with 52,1% of light vehicle production destined for the region. Although it is beneficial to have such a large customer base in Europe, the downside is that developments in this region have a direct and measurable impact on the domestic automotive industry such as the legislation to ban new ICE vehicles in the EU and the UK from 2035 onwards. Domestic vehicle production, therefore, needs to align with the overall technology shift of global value chains to safeguard the country's future vehicle exports.

Industry export performance by major region - 2019 to 2024 Q3

	2019	2020	2021	2022	2023	Q4:2023	Q4:2024	% change Q4:2024/Q4:2023
Europe	285,599	197,355	229,672	255,709	301,639	81,824	78,241	-4,4%
North America	13,540	9,463	7,981	21,684	20,910	7,971	1,924	-75,9%
Asia	39,879	29,440	24,170	35,154	35,015	8,594	8,336	-3,0%
Africa	23,500	17,127	21,994	22,769	25,596	6,871	7,976	+16,1%
Australasia	17,350	13,698	10,620	12,389	12,483	3,407	2,395	-29,7%
Central America	5,651	3,156	3,045	2,759	2,952	1,386	607	-56,2%
South America	1,691	1,188	706	1,527	1,214	398	156	-60,8%
TOTAL	387,210	271,427	298,188	351,991	399,809	110,451	99,635	-9,8%

Vehicle exports decreased by a 9,8% in the fourth quarter 2024 compared to the corresponding quarter 2023 due to decreasing exports to all major regions, with the exception of Africa. Generally weaker global demand as well as the timing of a new model launch by a major exporter impacted on exports to the various regions. The easing of monetary policy in the domestic automotive industry's key export markets has not been sufficient to support an upward momentum in vehicle exports during the quarter.

8. CONFIDENCE INDEX

The **naamsa** CEOs Confidence Index is an in-house leading business confidence indicator of current and future developments in the domestic automotive industry. The **naamsa** Confidence Index is built to enhance the quarterly reporting with opinions canvassed anonymously from each of the **naamsa** CEOs. The questions focus on views related to automotive business conditions in particular as well as the country's economy in general.

8.1. 4th Quarter 2024 vs 4th Quarter 2023

PERFORMANCE INDICATOR	UP	SAME	DOWN
Domestic new vehicle sales	58%	17%	25%
Vehicle export sales	30%	30%	40%
Vehicle production volumes	30%	30%	40%
Vehicle import volumes	50%	33%	17%
Employment - vehicle manufacturing	0%	70%	30%
Capacity utilisation	16%	42%	42%
Investment expenditure	17%	50%	33%
General new vehicle business conditions	36%	28%	36%

The sentiments expressed by the CEOs of the **naamsa** automotive companies during the fourth quarter of 2024 indicated more favourable macroeconomic conditions. These included the lowest fuel prices in three years, the lowest monthly inflation rate since June 2020 during the pandemic, a second interest rate cut, and three consecutive monthly increases in new vehicle sales. While acknowledging that reducing the cost of borrowing by another 25 basis points during the quarter would not significantly improve vehicle affordability challenges and household debts in the short term, it was recognised as a positive move to stimulate economic activity. However, it was acknowledged that the domestic economy remained constrained, with port delays still impacting manufacturing operations. The immediate effects of these positive signs were still relatively small. Nevertheless, the cumulative impact and momentum going forward were hoped to translate into stronger new vehicle sales in the medium to long term. CEOs of selected imported brands with affordable models expressed more optimism about the general business conditions during the quarter.

8.2. Next 6-months

PERFORMANCE INDICATOR	UP	SAME	DOWN
Domestic new vehicle sales	50%	25%	25%
Vehicle export sales	30%	40%	30%
Vehicle production volumes	27%	18%	55%
Vehicle import volumes	36%	43%	21%
Employment - vehicle manufacturing	0%	60%	40%
Capacity utilisation	9%	36%	55%
Investment expenditure	17%	66%	17%
General new vehicle business conditions	31%	23%	46%

The CEOs of the **naamsa** companies express a cautious outlook on the business environment and the industry's key performance indicators for the next six months. The resilient performance of the volume passenger cars segment during the quarter, coupled with well-controlled inflation, anticipated interest rate cuts by the South African Reserve Bank, and a promising domestic outlook for 2025, instil a sense of optimism. However, it is acknowledged that economic challenges persist in South Africa, considering the enduring high interest rates, the ultra-high unemployment rate, the significant electricity price increases from April 2025, and the volatile oil prices. The new vehicle market remains closely linked to broader economic conditions. Furthermore, potential threats include US protectionist policies that could disrupt future interest rate cuts by central banks, potentially disrupting globalisation by imposing tariffs on imports and causing unprecedented ripple effects for emerging markets like South Africa. On the positive side, South Africa's hosting of the G20 and the B20 summits in 2025 presents an excellent opportunity to capitalise on and attract investments that can foster more robust and inclusive domestic economic growth.

8.3. Brief Comment on business conditions and the medium-term outlook

Despite a stronger year-end performance, the new vehicle market hasn't recovered to its 2019 pre-pandemic level in four years and is likely to be delayed for another year. The domestic economic outlook for 2025 is expected to improve, potentially reaching its best performance in over a decade, excluding the pandemic-distorted 2021 recovery. This improvement will be driven by a revival in business and consumer sentiment due to positive changes in the country's key economic indicators and ongoing growth-friendly reforms in sectors like electricity and transport implemented by the new Government of National Unity [GNU]. The South African Reserve Bank projects a significant improvement in the country's GDP growth rate to 1.5% in 2025, with some commentators even more optimistic, projecting growth rates of around 2%.

The two interest rate cuts in 2024, the first in four years, along with a strengthening Rand and easing inflation, have created a more favourable economic environment for new vehicle sales growth. Given the stronger economic prospects, further interest rate cuts, and a revival in consumer and business confidence, expectations remain for a rebound in the new vehicle market in 2025.

Vehicle exports continued to lose momentum in the fourth quarter of 2024 and throughout the year compared to the record performance of 2023. Several factors contributed to this decline, including weak to recessionary economic conditions in top export markets, stricter EU emission rules, competition from cheaper electric vehicle imports from China in major markets, and the timing effect of new model introductions in the domestic market by a major exporting OEM.

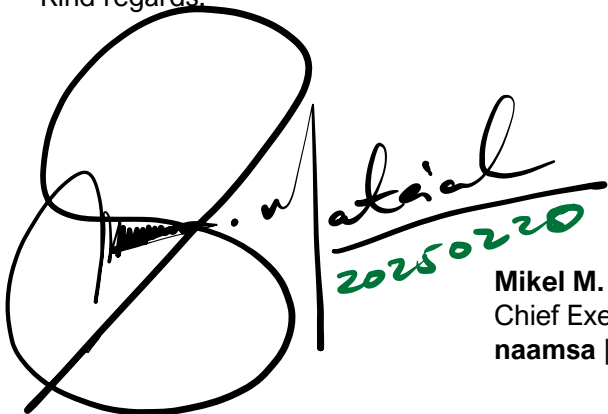
The anticipated ongoing easing of monetary policy in the South African automotive industry's key export markets should support vehicle export momentum in the short to medium term. However, the trajectory of trade policies under the new US Administration remains uncertain and could have significant spillover impacts for South Africa and other markets, including higher export restrictions, higher inflation, and a slowdown in interest rate cuts.

FUEL FOR THOUGHT FLASH

NEV sales share, by 21 brands, as a percentage of total new vehicle sales, increased to 3,0% in 2024, up from 1,47% in 2023.

The standard attached schedule reflects updated industry sales, production, export and import numbers. Projections include forecasts for 2024 and 2025.

Kind regards,



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Mikel M. MABASA
Chief Executive Officer
naamsa | The Automotive Business Council